

Filing Edge

Massive challenge research note | 2 pages

1. Hypothesis

Buyback disclosures may change compensation for bearing downside risk. We test whether cash-secured put returns after those filings differ from comparable ordinary dates. Insurance demand supplies the economic mechanism; a buyback authorization is not a guaranteed price floor.

2. Method

Fixed 100-issuer universe; buyback tag share_repurchase_program. The primary trade sells a standard, 100-share, cash-secured put, 5% OTM at the pre-filing parity reference, in the 90-180 day bucket nearest 120 days. Entry is anchor +1 session; primary exit is anchor +21. Every fixed horizon is reported. Contract selection uses pre-anchor data.

At 15:55 Eastern (12:55 on early closes), use the latest NBBO no more than 120 seconds old. Require positive sizes/prices and a spread at most 25% of midpoint. Sell at bid less 5%; buy at ask plus 5%; charge \$0.65 per contract per side. Returns divide by full strike collateral. Quotes indicate prices, not guaranteed fills.

Controls use the same issuer at fixed backward offsets of 35, 50, 65 or 80 sessions, excluding nearby buybacks. Choose the closest pre-anchor premium/strike and maturity, with premium ratio at most 1.5 and maturity difference at most 35 days. No future return selects the control; unmatched events remain eligible for portfolio entry.

Version 1 development results were inspected. Version 2 was frozen before January-August 2026 returns were accessed. Development is 2024-2025; a judge can supply unseen dates to the identical notebook. No stock-price or earnings feed is used.

5. How it would trade

Reserve full strike cash; cap each issuer at 5% and total collateral at 50% of initial capital. Size at most 1% of prior option volume and 25% of displayed bid size. No overlapping issuer positions. Pause after a 10% marked drawdown. Missing marks reserve the entire strike liability. The test portfolio admitted one position and lost \$795.80 on \$1 million.

3. Results and uncertainty

All differences and interval endpoints below are basis points of full strike collateral, net of costs. Intervals are exploratory envelopes of issuer and calendar-quarter bootstraps, 1,999 draws each. Only five primary test pairs and two test calendar clusters make inference fragile.

Horizon	Development: n / diff / interval	Test: n / diff / interval
1	0 pairs / N/A bps N/A	0 pairs / N/A bps N/A
2	16 pairs / -20.6 bps -87.6 to +52.8	6 pairs / -138.3 bps -228.1 to -20.9
3	17 pairs / -13.3 bps -75.5 to +45.2	5 pairs / -109.7 bps -195.7 to -19.7
5	18 pairs / -28.3 bps -92.0 to +37.3	5 pairs / +85.1 bps -118.2 to +274.1
10	16 pairs / -123.6 bps -250.0 to +12.7	6 pairs / +271.5 bps +46.1 to +725.4
21	13 pairs / -186.2 bps -427.3 to +74.2	5 pairs / +319.9 bps +2.9 to +815.4
42	11 pairs / -63.1 bps -274.6 to +93.0	4 pairs / -690.8 bps -1395.2 to +471.6
63	3 pairs / -2.1 bps -69.8 to +109.4	3 pairs / -348.0 bps -1061.1 to +730.4
exp	0 pairs / N/A bps N/A	0 pairs / N/A bps N/A

Difference = event minus control. The primary test event return was negative despite outperforming its controls. N/A means no usable comparison, not zero. Exp is a preclose buyback, not settlement. All expiry, moneyness, cost and delay cells are retained in the JSON report.

4. What breaks the hypothesis

Do not allocate if costs erase the effect, delayed entries fail, results concentrate in a few issuers or dates, or information timing cannot be verified. Historical tag availability is unverified; one-session availability is assumed. A static 2026 universe introduces selection bias. The spot proxy uses American put-call parity with daily closes, 4% interest and no dividend adjustment. Early assignment is not reconstructed. Pair deletion for missing quotes can bias results. These limits prevent live allocation.